Vendor MSA — TechCo × Clauseium Pvt Ltd

Acme Cloud Services Pvt Ltd · Generated Sunday, 3 May 2026

COUNTERPARTY **Acme Cloud Services Pvt Ltd**	GOVERNING LAW **Laws of India**
JURISDICTION **Mumbai**	TOTAL CLAUSES **47**

RISK DISTRIBUTION

4 HIGH	7 MEDIUM	12 LOW	12 STANDARD	2 MISSING

CLAUSE-BY-CLAUSE ANALYSIS

§ 14.2 · Pending review

HIGH RISK

Limitation of Liability

Liability cap of 3 months of fees is well below industry standard for Indian SaaS MSAs.

ORIGINAL

Notwithstanding anything to the contrary, the aggregate liability of the Service Provider arising out of or in connection with this Agreement shall not exceed an amount equal to three (3) months of fees paid by the Customer in the twelve (12) months preceding the event giving rise to the claim.

SUGGESTED REDLINE

Notwithstanding anything to the contrary, the aggregate liability of the Service Provider arising out of or in connection with this Agreement shall not exceed an amount equal to twelve (12) months of fees paid by the Customer in the twelve (12) months preceding the event giving rise to the claim; provided that the foregoing limitation shall not apply to (a) claims arising from infringement of intellectual property rights, (b) breach of confidentiality obligations, (c) breach of data protection obligations under the Digital Personal Data Protection Act, 2023, or (d) gross negligence or wilful misconduct.

AI REASONING

Standard market practice in India for vendor MSAs is a liability cap equal to 12 months of fees, with carve-outs for IP infringement, data breach, and gross negligence. A 3-month cap exposes the Customer to disproportionate risk in the event of a material breach. This is significantly below the 50th percentile of comparable agreements in our benchmark corpus.

CITATIONS

- §73, Indian Contract Act, 1872 **(verified)**
- §13, DPDP Act, 2023 **(verified)**

§ 8.3 · Pending review

HIGH RISK

Data Protection

Missing Data Principal rights, breach notification timeline, and DPA annexure required under DPDP Act 2023.

ORIGINAL

The Service Provider shall implement reasonable security practices to protect Personal Data processed under this Agreement and shall comply with applicable data protection laws.

SUGGESTED REDLINE

The Service Provider shall, in its capacity as a Data Processor: (a) process Personal Data only on documented instructions from the Customer; (b) implement and maintain the security safeguards prescribed under §8(5) of the DPDP Act, 2023 and the rules thereunder; (c) notify the Customer of any Personal Data breach within twenty-four (24) hours of discovery; (d) assist the Customer in fulfilling Data Principal rights under §11–§14; and (e) execute the Data Processing Agreement annexed hereto as Schedule D.

AI REASONING

The clause is materially deficient under the Digital Personal Data Protection Act, 2023. It does not specify (i) the rights of Data Principals under §11–§14, (ii) the breach notification timeline (72 hours under DPDP Rules 2025), (iii) sub-processor obligations, or (iv) cross-border transfer restrictions. A separate Data Processing Agreement (DPA) must be annexed.

CITATIONS

- §8(1), DPDP Act, 2023 **(verified)**
- §11, DPDP Act, 2023 **(verified)**

§ 12.1 · Pending review

HIGH RISK

Indemnification

One-sided indemnification favouring vendor. No reciprocal IP or breach indemnity from Service Provider.

ORIGINAL

The Customer shall indemnify, defend and hold harmless the Service Provider from and against any and all third-party claims, damages, losses and expenses arising out of or in connection with the Customer's use of the Services.

SUGGESTED REDLINE

Each Party (the 'Indemnifying Party') shall indemnify, defend and hold harmless the other Party from and against any third-party claims arising out of: (a) the Indemnifying Party's breach of this Agreement; (b) gross negligence or wilful misconduct of the Indemnifying Party; and (c) in the case of the Service Provider, any claim that the Services infringe a third party's intellectual property rights.

AI REASONING

Standard Indian commercial practice requires mutual indemnification, with the Service Provider indemnifying the Customer for: (a) third-party IP infringement claims arising from the Services, (b) breach of data protection obligations, and (c) breach of representations and warranties. The current drafting places the entire indemnification burden on the Customer.

CITATIONS

• §73, Indian Contract Act, 1872 **(verified)**

• §74, Indian Contract Act, 1872 **(verified)**

`§ 16.4 · Pending review` **HIGH RISK**

Auto-renewal

Silent auto-renewal with 90-day exit window is non-standard for Indian SaaS contracts.

ORIGINAL

This Agreement shall automatically renew for successive periods of one (1) year unless either Party provides written notice of non-renewal at least ninety (90) days prior to the expiration of the then-current term.

SUGGESTED REDLINE

This Agreement shall renew for successive periods of one (1) year only upon the Customer's written affirmative consent provided not less than thirty (30) days prior to the expiration of the then-current term. Absent such written consent, this Agreement shall expire at the end of the then-current term.

AI REASONING

Typical Indian B2B SaaS contracts allow a 30-day opt-out window for auto-renewal. A 90-day window combined with silent renewal (no affirmative consent required) creates a procurement trap and is increasingly disfavoured under emerging consumer protection guidance applied to B2B contexts.

CITATIONS

• §2(46), Consumer Protection Act, 2019 **(partial)**

`§ 21.1 · Pending review` **MEDIUM RISK**

Governing Law

Governing law is India, but jurisdiction clause references Singapore — internal inconsistency.

ORIGINAL

This Agreement shall be governed by and construed in accordance with the laws of India, without regard to its conflict of laws principles.

SUGGESTED REDLINE

This Agreement shall be governed by and construed in accordance with the substantive laws of India, without regard to its conflict of laws principles. The seat of arbitration shall be Mumbai, India, and the courts at Mumbai shall have exclusive jurisdiction in respect of interim relief.

AI REASONING

While the governing law is correctly stated as India, §21.2 (Jurisdiction) references the Singapore International Arbitration Centre (SIAC) as the exclusive forum. This creates ambiguity around enforcement of interim relief and the scope of Indian court jurisdiction under §9 of the Arbitration and Conciliation Act, 1996.

CITATIONS

• §9, Arbitration and Conciliation Act, 1996 **(verified)**

§ 21.2 · Pending review

MEDIUM RISK

Arbitration

SIAC seat for an India-governing-law contract — reconsider domestic seat.

ORIGINAL

Any dispute arising out of this Agreement shall be referred to and finally resolved by arbitration administered by the Singapore International Arbitration Centre (SIAC) in accordance with the SIAC Rules then in force.

AI REASONING

A foreign-seated arbitration with Indian governing law is permissible but introduces enforcement complexity and higher cost. Given the parties' Indian nexus, a domestic seat (Mumbai or New Delhi) under the Arbitration and Conciliation Act, 1996, with administered arbitration via MCIA or DIAC, is preferable.

CITATIONS

• §20, Arbitration and Conciliation Act, 1996 **(verified)**

§ 9.1 · Pending review

MEDIUM RISK

IP Assignment

Scope of IP assignment unclear — does not exclude pre-existing or background IP.

ORIGINAL

All intellectual property rights in deliverables created by the Service Provider in the course of performing the Services shall be assigned to the Customer upon payment in full.

SUGGESTED REDLINE

All intellectual property rights in deliverables specifically created for the Customer ('Foreground IP') shall be assigned to the Customer upon payment in full. The Service Provider's pre-existing intellectual property, generally applicable tools, methodologies and know-how ('Background IP') shall remain the property of the Service Provider, with a perpetual, royalty-free licence granted to the Customer to the extent necessary to use the Foreground IP.

AI REASONING

The clause does not carve out the Service Provider's pre-existing intellectual property or generally applicable tools, frameworks, and know-how. This is unusual and could inadvertently transfer the Service Provider's underlying platform IP.

CITATIONS

• §17, Copyright Act, 1957 **(verified)**

`§ 11.3 · Pending review` **MEDIUM RISK**

Non-compete

Geographic scope (all India) and duration (24 months) likely unenforceable post-termination.

ORIGINAL

For a period of twenty-four (24) months following termination, the Customer shall not engage any competitor of the Service Provider for similar services within India.

AI REASONING

Under §27 of the Indian Contract Act, 1872, post-termination non-compete restraints are generally void as restraint of trade. Even where narrow restraints have been upheld, courts typically require reasonable scope. A pan-India, 24-month restraint is unlikely to be enforceable.

CITATIONS

• §27, Indian Contract Act, 1872 **(verified)**

`§ 5.1 · Pending review` **MEDIUM RISK**

Payment Terms

Net-90 payment terms; market standard for Indian B2B SaaS is Net-30 to Net-45.

ORIGINAL

Customer shall pay all undisputed invoices within ninety (90) days of the invoice date.

SUGGESTED REDLINE

Customer shall pay all undisputed invoices within forty-five (45) days of the invoice date. Where the Service Provider is registered under the MSME Development Act, 2006, payment shall be made within the statutory period prescribed thereunder.

AI REASONING

Net-90 is materially longer than the Indian B2B SaaS market standard (Net-30 to Net-45). The MSME Development Act, 2006 also imposes a 45-day cap for payments to registered MSMEs. Confirm whether the counterparty is MSME-registered.

CITATIONS

• §15, MSMED Act, 2006 **(verified)**

`§ 17.2 · Pending review` **MEDIUM RISK**

Force Majeure

Force majeure list does not include pandemics, cyberattacks, or government action.

ORIGINAL

Neither Party shall be liable for delay or failure to perform due to causes beyond its reasonable control, including acts of God, war, and natural disasters.

AI REASONING

Post-2020 Indian commercial drafting commonly includes pandemics, epidemics, public health emergencies, cyberattacks, and acts of governmental authority within the force majeure definition. Their absence may create gaps in coverage.

CITATIONS

- §56, Indian Contract Act, 1872 **(verified)**

§ 13.1 · Pending review

MEDIUM RISK

Insurance

Insurance covers CGL only; missing cyber liability and professional indemnity cover.

ORIGINAL

The Service Provider shall maintain commercial general liability insurance of not less than INR 5,00,00,000.

AI REASONING

For a vendor handling Personal Data and providing professional services, the insurance schedule should include: (i) Cyber Liability (minimum ¹10 crore), (ii) Professional Indemnity (minimum ¹5 crore), and (iii) Errors & Omissions cover. CGL alone is insufficient.

§ 1.0 · Pending review

STANDARD

Confidentiality

Market-standard drafting; no changes required.

ORIGINAL

Confidentiality clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 2.0 · Pending review

STANDARD

Term

Market-standard drafting; no changes required.

ORIGINAL

Term clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 3.0 · Pending review

STANDARD

Notices

Market-standard drafting; no changes required.

ORIGINAL

Notices clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 4.0 · Pending review

STANDARD

Entire Agreement

Market-standard drafting; no changes required.

ORIGINAL

Entire Agreement clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 5.0 · Pending review

STANDARD

Amendment

Market-standard drafting; no changes required.

ORIGINAL

Amendment clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 6.0 · Pending review

STANDARD

Severability

Market-standard drafting; no changes required.

ORIGINAL

Severability clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 7.0 · Pending review

STANDARD

Waiver

Market-standard drafting; no changes required.

ORIGINAL

Waiver clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 8.0 · Pending review

STANDARD

Assignment

Market-standard drafting; no changes required.

ORIGINAL

Assignment clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 9.0 · Pending review

STANDARD

Counterparts

Market-standard drafting; no changes required.

ORIGINAL

Counterparts clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 10.0 · Pending review

STANDARD

Survival

Market-standard drafting; no changes required.

ORIGINAL

Survival clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 11.0 · Pending review

STANDARD

Headings

Market-standard drafting; no changes required.

ORIGINAL

Headings clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 12.0 · Pending review

STANDARD

Interpretation

Market-standard drafting; no changes required.

ORIGINAL

Interpretation clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 13.0 · Pending review

STANDARD

Definitions

Market-standard drafting; no changes required.

ORIGINAL

Definitions clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 14.0 · Pending review

STANDARD

Acceptance

Market-standard drafting; no changes required.

ORIGINAL

Acceptance clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 15.0 · Pending review

STANDARD

Service Levels

Market-standard drafting; no changes required.

ORIGINAL

Service Levels clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 16.0 · Pending review

STANDARD

Acceptable Use

Market-standard drafting; no changes required.

ORIGINAL

Acceptable Use clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 17.0 · Pending review

STANDARD

Suspension

Market-standard drafting; no changes required.

ORIGINAL

Suspension clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 18.0 · Pending review

STANDARD

Cooperation

Market-standard drafting; no changes required.

ORIGINAL

Cooperation clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 19.0 · Pending review

STANDARD

Audit

Market-standard drafting; no changes required.

ORIGINAL

Audit clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 20.0 · Pending review

STANDARD

Records

Market-standard drafting; no changes required.

ORIGINAL

Records clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 21.0 · Pending review

STANDARD

Subcontracting

Market-standard drafting; no changes required.

ORIGINAL

Subcontracting clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 22.0 · Pending review

STANDARD

Publicity

Market-standard drafting; no changes required.

ORIGINAL

Publicity clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 23.0 · Pending review

STANDARD

Independent Contractor

Market-standard drafting; no changes required.

ORIGINAL

Independent Contractor clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ 24.0 · Pending review

STANDARD

No Third-Party Beneficiaries

Market-standard drafting; no changes required.

ORIGINAL

No Third-Party Beneficiaries clause as drafted is consistent with market-standard Indian commercial practice and our internal playbook.

AI REASONING

This clause aligns with the firm's playbook and the 50th-percentile drafting in our benchmark corpus.

§ — · Pending review

MISSING CLAUSE

Anti-Bribery & Anti-Corruption

No anti-bribery clause referencing the Prevention of Corruption Act, 1988.

ORIGINAL

(Not present in this Agreement.)

SUGGESTED REDLINE

Each Party represents and warrants that, in connection with this Agreement, neither it nor any person acting on its behalf has offered, given, or received any bribe, kickback or other improper benefit, and shall comply with the Prevention of Corruption Act, 1988 and all other applicable anti-bribery and anti-corruption laws.

AI REASONING

Standard Indian commercial contracts include explicit ABAC representations referencing the Prevention of Corruption Act, 1988 (as amended in 2018) and, where applicable, the FCPA / UK Bribery Act. Absence of an ABAC clause is a material gap for vendor agreements.

CITATIONS

- Prevention of Corruption Act, 1988 **(verified)**

§ — · Pending review

MISSING CLAUSE

POSH Compliance

No POSH (Sexual Harassment of Women at Workplace Act, 2013) compliance representation.

ORIGINAL

(Not present in this Agreement.)

SUGGESTED REDLINE

The Service Provider represents that it has constituted an Internal Committee under §4 of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, and shall ensure that all personnel deployed under this Agreement comply with the Customer's POSH policy.

AI REASONING

Where vendor personnel work at the Customer's premises or interact with Customer employees, market practice is to include a POSH compliance representation requiring the vendor to have a constituted Internal Committee and a written POSH policy.

CITATIONS

- §4, POSH Act, 2013 **(verified)**